Over the next week or so, he and I, along with members of our staffs, met almost around the clock to put together a package of welfare reform that cut expenditures by hundreds of millions of dollars a year while raising benefits and providing cost-of-living increases for the *truly* needy in the state.

By tightening eligibility standards and eliminating loopholes, we turned a monthly increase in the welfare caseload of forty thousand to a monthly *decrease* of eight thousand. California was no longer the welfare capital of the country.

We obtained authority from the federal government, which set a lot of the rules regarding welfare, to let us try an experiment in which able-bodied welfare recipients were given a job. We contacted every level of government throughout the state and asked if there were things they would be doing if they had the money and manpower to do it. We got all kinds of affirmative replies—none of them boondoggles. Washington gave us permission to go ahead with the experiment only after President Nixon intervened on our behalf. We took the able-bodied welfare recipients, assigned them to these jobs in return for their welfare grants, and as they learned some job skills, they were moving into jobs in the private sector.

During the 1973—1974 recession, this program got seventy-six thousand people off the welfare rolls and put them into productive jobs. Later, a lot of them wrote and thanked me for the program, saying for the first time in their adult lives they had felt a sense of self-respect because they were doing something in return for their monthly check; the remarks reminded me of the smiles I'd seen on the faces of the men my father helped find jobs during the Depression.

During my second term, I was able to announce a fourth rebate of state taxes to the people—the biggest surplus yet. I'll always remember what happened after I'd announced we